

Decoding the PENSION SYSTEM

Nature of NPS

Fund with defined contribution to a non-withdrawable account for financial security in old age

Eligibility

Any Indian citizen between 18 and 55

Investor options:

Fund managers invest the savings in three asset classes

Equity (E)

Investment limit of 50 per cent offers high risk and returns

Government securities (G)

Offers medium risk and returns

Credit risk (C) (including corporate bonds and fixed deposits)

Offers low returns

Subscription

From any of 285 PoPs across the country run by 22 banks

Contribution

No ceiling, a minimum of Rs 500 or Rs 6,000 annually

Upside

— Provides old age income security with flexibility to decide how much to invest

— Subscribers can retain PRANs when they change jobs or shift residence

— Allows change of fund managers, allocation among different asset classes

Downside

— No sovereign cover or guaranteed returns as in PPF

— Lack of awareness among people about pension fund

— Confusion over the various asset classes

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“Around 80 million people will join the NPS in the short to medium term.”

D. SWARUP, CHAIRMAN, PFRDA

be shuffled to a more cautious mix.

The advantages are clear. Says Ravi Trivedi, director, business advisory, KPMG, “Pension funds under NPS offer a wider social security umbrella.” Moreover, NPS allows an individual to switch fund managers as well as asset allocation without any exit or entry load charges. Vimal Bhandari, country head, Aegon Religare Life Insurance, says the low charges in the NPS at 0.0009 per cent per annum of fund value at a time when others charge between 1 and 2.5 per cent, makes it a win-win proposition in a price-sensitive market like India.

But the architecture is not all too satisfactory and neither is the ex-

pected comparative advantage. There is lack of clarity on many issues—for instance, tax treatment. There is also a need for clear communication on the exit policy. Analysts point out that on retirement while an investor can exit a unit-linked insurance plan without being taxed, a tax-free exit in the NPS requires you to invest 40 per cent of your accumulated wealth in life insurance annuities. Similarly, pre-60 retirement means you cannot withdraw more than 20 per cent of accumulated wealth and 80 per cent of it will have to be annuitised. For a scheme that is aimed at creating long-term security, the NPS robs away the comfort of choice, for instance when to retire

without financial compulsions.

In terms of comparative advantage too, the NPS scores lower than established long-term security products like the Employee Provident Fund and the sovereign Public Provident Fund (PPF), which offer guaranteed returns. So why would a person invest in the NPS which gives no guarantees, where exposure to equity is through index funds and where returns are lower? Besides, unlike the PPF, NSC or postal schemes, all of which give guaranteed returns, there is no sense of sovereign guarantee and no government assurance as to the security of capital fund and interest income. Indeed, on some counts the NPS scores lower than sophisticated insurance-linked instruments on the mart.

But the biggest fear is that of legitimacy. There is also a concern over the PFRDA lacking legal teeth, says Prithvi Haldea of Prime Database. A day after the launch of the scheme, Brinda Karat, CPI(M) MP, wrote to the chief election commissioner charging the UPA with violating the code of conduct. She was questioning the right of the Government to launch the scheme amid elections. And not all of it is electoral rhetoric. The NPS gets its life from an ordinance passed in December 2004. A temporary breathing apparatus in legislative terms, it was meant to be replaced by a bill (March 21, 2005), which could not be passed in Parliament. In a sense, thus the existence of NPS and its continuity, both raise questions of legitimacy in the post-poll scenario. For instance, what if a Left-supported government comes to power and restructures the fund?

India badly needs plans and instruments for the long-term security of its citizens. The NPS is a step in the right direction but these are baby steps. Investors would not risk hard-earned monies without complete legal sanctity and clarity on long-term tax implications. Therefore, the Government and the PFRDA need to take the next big steps to spur confidence amongst savers so that they can trust their future with the NPS. ■